DEPARTMENT OF THE NAVY
NAVAL FACILITIES ENGINEERING SYSTEMS COMMAND SOUTHWEST
750 PACIFIC HIGHWAY
SAN DIEGO CA 92132-5190

IN REPLY REFER TO

J&A No. 26-221

# JUSTIFICATION AND APPROVAL FOR USE OF OTHER THAN FULL AND OPEN COMPETITION

1. *Contracting Activity*.

Department of the Navy, Naval Facilities Engineering Systems Command Southwest (NAVFAC SW), Facilities Engineering Acquisition Division (FEAD), San Diego, California.

2. *Description of the Action Being Approved*:

Request authority to award a sole source contract, without the use of full and competition procedures, to Energy Technology and Service, Inc. located at 2637 Ariane Drive, San Diego, CA 92117 in support of the Metro Energy Generation System (MEGS).

3. *Description of Supplies/Services*:

The proposed contract will provide services to operate and maintain the MEGS for the Navy Medical Center San Diego (NMCSD) within the NAVFAC SW area of responsibility (AOR). The period of performance for the proposed contract is an extension for 6-months.

The MEGS is an Iconics Supervisory Control and Data Acquisition System (SCADA). MEGS provides a control system that continuously monitors the operation and performance of the NMCSD Co-Generation (COGEN) utility system. The COGEN system provides continuous, reliable, on-site utilities (electrical power, water, steam, compressed air) for the NMCSD. The system includes generation units, control systems, automatic transfer switching, emissions and compliance equipment, and integration with NMCSD's existing electrical infrastructure.

Estimated Dollar Value

The estimated dollar value of this contract action is approximately **$255,00.00** based on the Independent Government Estimate (IGE), utilizing historical data, input from subject matter experts, and market research. The Government estimate and period of performance are described below:

| PERIOD | PERIOD OF PERFORMANCE | LABOR | ODC | TOTAL |
|---|---|---|---|---|
| BASE | 3/25/26 – 9/30/2026 | $215,000.00 | $40,000.00 | $255,000.00 |
| | | | | |
| **TOTAL** | | | | **$255,000.00** |

[redacted]

*4. Statutory Authority Permitting Other Than Full and Open Competition*:

The statutory authority permitting other than full and open competition is 10 USC § 3204 (a)(2), as implemented by the Federal Acquisition Regulation (FAR) 6.302-2, Unusual and Compelling Urgency, which permits contracting without providing for full and open competition in situations where (1) an unusual and compelling urgency precludes full and open competition and (2) delay in award of a contract would result in serious injury, financial or other, to the Government.

*5. Rationale Justifying Use of Cited Statutory Authority*:

NMCSD is a 24/7 critical medical facility supporting active-duty service members, veterans, and their families. The facility requires an on-site generation system capable of delivering uninterrupted utilities (electrical power, water, steam, compressed air) to critical care areas, operating rooms, and life-support. The MEGS must seamlessly integrate all utility systems without operational downtime, while providing redundant and load-balanced power generation with automated fault detection and correction. The risk of failure to meet these mission critical requirements to the support Naval Medical Center San Diego would pose unacceptable risk to the health and safety of patients and Government personnel.

Historically, MEGS support has been provided via contract N6247325P3803, awarded by FEAD San Diego on 25 SEP 2025. That contract is set to expire on 24 MAR 2026. The prior MEGS support was provided via contract W912DY-18-D-0003/P0003, awarded by the USACE on 18 NOV 2015. That contract expired 03 DEC 2020. Following the USACE contract, MEGS support has been provided as a rider to various NMCSD construction and maintenance contracts. For example, the NMCSD Automated Transfer Switch (ATS) upgrade and maintenance contract (N62473-22-F-4456) provided MEGS support.

The period of performance of the proposed contract is six (6) months, which does not exceed the maximum time allowed for sole source acquisitions based on the unusual and compelling urgency statutory authority. The proposed contract action will allow sufficient time to conduct a competitive acquisition via the U.S. Army Corps of Engineers (USACE) existing Utility Monitoring and Control System (UMCS) Programmatic Multiple Award Task Order Contract (MATOC) V.

A site survey is underway to assess the existing MEGS conditions. The results of the survey will determine the best, most cost effective way to define the requirement and implement needed improvements.

The incumbent contractor, Energy Technology and Service, Inc. (ETS), has been the primary provider of MEGS support. Consequently, ETS has unique and specialized knowledge of the system to ensure mission critical requirements are met. No other contractor could provide the localized knowledge and immediate services necessary to operate and maintain the existing MEGS System without a significant lead time and unacceptable delay. Such a delay would result in serious injury to the Government by creating an undue risk of loss of vital services at the Naval Medical Center San Diego.

Pursuant to the authority of 10 U.S.C. § 3204(a)(2), as implemented by FAR 6.302-2, this Justification & Approval (J&A) requests the authority to limit competition to this contractor and award a one-time contract based on the unusual and compelling urgency to provide services without disruption or impact to the mission for Navy installations within the NAVFAC SW AOR. The contractor is capable of satisfying the agency's unusual and compelling requirement starting on March 25, 2026.

6. *Description of Efforts Made to Solicit Offers from as Many Offerors as Practicable*:

NAVFAC conducted a limited market survey, including outreach to several energy generation and engineering firms, review of GSA Schedule offerings, and analysis of similar government procurements. No other vendor or manufacturer demonstrated the ability to meet all NMCSD's technical, environmental, and mission resiliency requirements without significant phase-in/ramp-up time. Due to the urgency of this project, standard market research procedures for other qualified firms could not be conducted in accordance with FAR Part 10. Other than full and open competition is necessitated by an unusual or compelling urgency under the authority of 10 U.S.C. § 3204(a)(2) as implemented in FAR 6.302-2 and offers were requested from as many potential sources as was practicable under the circumstances in accordance with FAR 6.302-2(c)(2). The planned action covered by this J&A meets an exception to the synopsis requirements per FAR Part 5.202(a)(2). The approved J&A will be released in accordance with FAR 6.305(b).

7. *Determination of Fair and Reasonable Cost*:

The Contracting Officer has determined the anticipated cost to the Government of the services covered by this J&A will be fair and reasonable.

8. *Actions taken to Remove Barriers to Future Competition*:

NAVFAC will utilize the pending COGEN Site Survey assessing the existing SCADA system's conditions to the best, most cost effective way to implement any new improvements. This is a one-time extension of the existing contract that is necessary to avoid delay that would cause serious injury, financial or other, to the Government, and is necessary to provide immediate, continuous, reliable, and compliant on-site electrical power generation for the NMCSD. It is anticipated that the Government will utilize US Army Corps of Engineers (USACE) Utility Monitoring and Control System (UMCS) Programmatic MATOC V contract vehicle for this requirement, which will be competitively awarded.

**JUSTIFICATION AND APPROVAL 26-221**

**TECHNICAL/REQUIREMENTS CERTIFICATION**

I certify that the facts and representations under my cognizance, which are included in this Justification and its supporting acquisition planning documents, except as noted herein, are complete and accurate to the best of my knowledge and belief.

Technical & Requirements Cognizance:

[redacted] [redacted] [redacted]

[redacted]

Naval Base San Diego Public Works Department
NAVFAC SW

**LEGAL SUFFICIENCY REVIEW**

I have determined this justification is legally sufficient.

[redacted] [redacted]

Phone Date

Associate Counsel
NAVFAC SW

**CONTRACTING OFFICER CERTIFICATION**

I certify that this Justification is accurate and complete to the best of my knowledge and belief.

[redacted] [redacted]

Phone Date

Contracting Officer
NAVFAC SW